Indian Legal Framework

Important 15-Mark Questions with Answers (Units II, III & IV)

Unit II

1. Explain the process of incorporation of a company under the Companies Act, 2013.

Meaning:
Incorporation is the legal process by which a company comes into existence as a separate legal entity.

Steps in incorporation:
1. Promotion – Promoters identify business opportunities and decide the nature of the company.
2. Name approval – Application is made to the Registrar of Companies (ROC).
3. Preparation of documents – MOA, AOA, declarations, address of registered office, particulars of directors.
4. Filing with ROC – Documents are filed with prescribed fees.
5. Certificate of Incorporation – Company becomes a separate legal person.

Importance:
Separate legal identity, limited liability, perpetual succession, right to own property and sue.

2. Distinguish between Memorandum of Association and Articles of Association.

Memorandum of Association (MOA):
The charter of the company. It defines the scope and objectives.

Main clauses:
Name clause, registered office clause, object clause, liability clause, capital clause, subscription clause.

Articles of Association (AOA):
Contains internal rules and regulations for management.

Difference:
MOA defines powers of company.
AOA regulates internal management.
MOA is superior; AOA is subordinate.

3. Explain share capital and different types of shares.

Share capital means money raised by issuing shares.

Types of share capital:
Authorized, issued, subscribed, called-up, paid-up.

Types of shares:
1. Equity shares – voting rights, share in profits.
2. Preference shares – preference in dividend and return of capital.

Unit III

4. Explain the objectives and important provisions of the Factories Act, 1948.

Objectives:
Protection of workers regarding health, safety, welfare and working hours.

Important provisions:
Health – cleanliness, ventilation, drinking water.
Safety – fencing of machinery, fire precautions.
Welfare – canteens, first-aid, rest rooms, crèches.
Working hours – 48 hours per week, 9 hours per day, weekly holiday, overtime wages.

5. What is an industrial dispute? Explain causes and settlement machinery.

Meaning:
Disagreement between employer and employer, employer and workers, or workers and workers.

Causes:
Low wages, bonus disputes, retrenchment, dismissal, poor working conditions, union rivalry.

Settlement machinery:
Works Committee, Conciliation Officer, Board of Conciliation, Labour Court, Industrial Tribunal.

6. Explain the important features of the Code on Wages, 2019.

Main features:
Universal applicability, minimum wages, timely payment of wages, equal remuneration, bonus, inspector-cum-facilitator.

Unit IV

7. Explain the main features of the Consumer Protection Act, 2019.

Consumer rights:
Right to safety, information, choose, be heard, seek redressal, consumer education.

Redressal agencies:
District Commission, State Commission, National Commission.

Features:
Product liability, misleading advertisement control, e-commerce regulation.

8. Explain basics of Intellectual Property Rights (IPR).

Types:
Trademark, Patent, Copyright, Geographical Indications.

Importance:
Encourages innovation, protects business identity, gives exclusive rights.

9. Explain environmental law and sustainable business practices.

Objectives:
Prevent pollution, protect resources, ensure sustainable development.

Principles:
Polluter pays principle, precautionary principle, sustainable development.

Sustainable business practices:
Waste management, energy conservation, water conservation, eco-friendly production.